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AI READINESS: ARE YOU PREPARED?

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“Do you feel prepared?”

This is a question often heard: by children before a big game or a big examination; by adults before an important interview; by CEOs before a big pitch meeting or a shareholder conference; or even by the President of the US before a State of the Union address...

The answer is as much a qualified statement of the state of the mind, as it is a checklist of items which the questioned person has prepared to answer. It is about the context and about the messages. As in, does the child know how to conduct herself in the big game; or has he studied well enough to navigate potentially tricky questions in the forthcoming exam. Etc.

When it comes to open stack, cutting-edge technology — like Artificial Intelligence (or AI) — this question is not only contextualized, but also nuanced. It starts with the question, **“Which flavor of AI?”** The answer to that question frames the context for adequate preparation. If that fundamental step is missed, then — all subsequent preparation may be in vain.

This thought-piece is about the four (4) types of AI. And about what it means to “be prepared” in the context of the specific type of AI being considered in the enterprise.

The 4 types of AI

AI comes in many flavors. As such, when someone asks, “Are you implementing AI?”, be sure to take a step back and ask, “Of which flavor of AI are you thinking?” If the questioner seems confused, ask them to clarify what they have in mind:

“Is it backward-looking Analytical AI? Or is it Predictive AI? Or are you thinking Generative AI? Or perhaps, Agentic AI?”

You may be surprised how few people have even thought to this depth.

When once you have an answer, it frames important context. It also becomes easy to think of the conditions which will spell success with the specific flavor of AI. And interestingly, therein lies the nugget for which both of you have been searching.

Analytical AI

Let’s start with a “true story” example here. Amazon was finding that an inordinate dollar value of electronics was being reported “not received” by customers. They launched an analytical AI exercise, and found that electronics as a category did not have any more counts of mis-delivery compared with other categories. However, given high unit-price, the value being reported “not received” registered high on their radar.

Using this as an example, data here would have been of all deliveries from all categories in all geographies. No pre-filters. Cooking the data and looking for patterns with machine learning showed that there was no differential in electronics delivery versus deliveries in other categories.

Based on this, though, Amazon decided to take a picture of the item being delivered and send it to the customer. If the product was delivered to a neighbor, for instance, without embarrassment, the mis-delivery could easily be corrected.

Predictive AI

Here, preparation takes on a different meaning. It starts with a goal first. What is the question which you are attempting to answer? That frames everything that follows.

For example, by 2006 or so, Google Maps was a run-away hit as an application on cell phones. However, users were gravitating to Waze by early 2010, using Waze's real-time traffic rerouting capabilities. Clearly, frustrated drivers in heavy traffic wanted to find the fastest path to their destination, along with the likeliest Expected Time of Arrival (ETA), so that they knew what was ahead of them and they could inform anyone at their destination of what to expect. The goals here were (a) fastest path from point A to point B; and (b) ETA at point B.

Data here is not only the current location of the driver and the destination on a map, but also current conditions, known obstacles along the path from current location to destination, along with historical data of similar or identical paths plotted by other drivers. Cooking this data and looking for patterns gives Google a way to predict ETA with high accuracy.

Generative AI

Generative AI — like ChatGPT — is “programmed to provide an answer”. Not always the “right” answer, but always “an answer”. This is very important to bear in mind.

Given this condition, preparation here is critical. A good prompt can give high-fidelity answers. A bad prompt will also return an answer, but the veracity of the answer can vary widely. Preparation here comes to:

- (a) what is the nature of the question?
- (b) how well is it framed?
- (c) what context, if any, has been provided to guide the result or constrain the pathway to seeking results;
- (d) what persona is being invoked in seeking an answer; and
- (e) which underlying LLM (or large language model) is being invoked to seek the answer and why.

Using these as guidance beams, a “well-prepared” prompt is:

“I would like to understand the likely outcome of the F1 Championship races in 2026. F1 is already 10 races into the 24 races in this season. Kimi Antonelli has won 6 of these for Mercedes. Looking at the remaining 14 races and the form of all the race drivers, study the field. Think like an F1 series commentator with expertise in the field. Who are likely to be 2026's numbers 1, 2 and 3? Why? Cite reasoning and sources.”

Agentic AI

Preparation here means understanding interactions between people and “their” current workflow automation. It is a combination of thinking function and automation — together. The central questions here are:

- (a) what is the workflow;
- (b) what are the inputs to the workflow;
- (c) what are the outputs from the workflow;
- (d) what actions are taken to transform the input to the output;
- (e) which of these actions can be automated;
- (f) what could go wrong and how would we control for it; and
- (g) how will we know the agent is performing well over time.

Knowing the answers to these questions, you are now prepared to step into Agentic AI.

As you can see here, preparation for these 4 different types of AI is substantially different from one another. Yet, they are all just different manifestations of AI — used as a broad-brush term. Data for each of them is quite different, one from another. Data preparation has a different meaning. Training is quite different.

The professionals involved are quite different too. In the cases of Analytical AI and Predictive AI, training is for specialized IT professionals to ensure that good data is available to glean insights and make predictions. In the case of Generative AI, the keys are LLM selection and good prompt engineering. In the last case — Agentic AI — it is a cross-functional effort involving a workflow “user-owner” (say, the Accounts Payable professional) and an IT professional who can write good Agentic AI code.

Last words

AI is like the proverbial Swiss army knife — with many capabilities. It can help businesses in many ways. AI’s usefulness can be optimized — but only when the problem is well chosen and articulated; and the specific type of AI to apply is chosen to match.

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